

SEMICONDUCTORS

CHIPS RISE

Tata's announcement of a semiconductor unit and Simmtech's ₹1,250-crore investment plan are encouraging, but India's fab dream is still a long road

BY NIDHI SINGAL

► **PRIME MINISTER NARENDRA** Modi's vision of making India a semiconductor hub will be a major economic driver, said Sanjay Mehrotra, CEO of US-based chipmaker Micron, at the recently concluded Vibrant Gujarat Global Summit. Micron is putting up an assembly, test, marking and packaging (ATMP) facility in Gujarat.

Further, in a positive sign for India's Semiconductor Mission (ISM), salt-to-software conglomerate Tata group also announced its intention to set up its planned fab unit in the state. N. Chandrasekaran, Chairman of Tata Sons, said the group is on the verge of concluding and announcing a "huge semiconduc-

SOMETHING'S COOKING

N. Chandrasekaran, Chairman of Tata Sons, said at the Vibrant Gujarat Global Summit, the group is on the verge of announcing a "huge semiconductor fab" in Dholera, Gujarat

tor fab" in Dholera, Gujarat. "We are about to complete negotiations for the semiconductor fab and commence operations in 2024," he said.

During the summit, South Korean firm Simmtech, a supply chain partner for chip assembly and testing, also inked an agreement with the Gujarat government to establish a plant in Sanand to support Micron's semiconductor plant. It will spend over ₹1,250 crore for this. "This is not our first time supporting our key customers. We have already done our project with Micron in China more than 10 years ago. We have recently executed another project in Malaysia together. With these projects, we have proven to the market that co-location investment really boosted the growth of a semiconductor ecosystem in the region," said Jeffrey Chun, CEO of Simmtech, at the summit.

All these developments are building momentum for ISM, which has had a sluggish start till now. The investments announced by Simmtech will further strengthen India's position in the global semiconductor supply chain network, and elevate the country's printed circuit board (PCB) and integrated circuit (IC) packaging substrate industry to new heights.

But, the question of production-grade fabs remains. The country is still waiting for major global chipmakers to announce plans to set up fabs here. Tata's proposal will need a green signal from the Electronics and IT Ministry. Although the group has acquired networking firm Tjas Networks and tied up with Japanese chipmaker Renesas Electronics, it will have to get production grade technology to get approvals, and spend considerable time and money to build a fab from the ground up. Getting a technology partner has proven troublesome for other entities earlier. It is a long road ahead. **BT**

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